FROM THE

EDITOR-IN-CHIEF

In one of the most spectacular comebacks in American history, Donald Trump returns for a second term in January 2025 as the 47th President of the United States. It's not an outcome punters would have betted on even a few months ago because Trump, twice impeached in his first term, was embroiled in some 34 civil and criminal cases, including one relating to an attempt to overturn the results of the 2020 election. But he shrugged it all off by casting himself as an outsider being hounded by a system run by the entrenched elite, an assassination attempt being part of that. The mandate he secured in a superheated election hands him near-absolute sovereignty over the affairs of his country, with the Republicans also inching towards total control of the US Congress. In choosing with no ambiguity, American voters turned their back on a possible future with Democratic nominee Kamala Harris, whose bid to carve a notch in history as the first woman ever and only the second person of colour to be US president failed to enthuse even some of her core voters like women fully.



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The irony is that America's macroeconomic indices are the envy of the developed world, with an annualised real GDP growth rate of 3.5 per cent in 2021-23, one of the lowest unemployment figures of recent times, and inflation cooling from the pandemic peak of 9 per cent in 2022 to just over 3 per cent. Yet, the electorate voted against Harris mainly because the average American felt his pocketbook was bruising at the petrol station and the grocery store. This is accompanied by one of the worst housing crises in decades: millions pay up to 30 per cent of their wages on rent or mortgage. Trump layered on top of this all his abusive bluster, how the unchecked influx of immigrants was destroying the country, how America was being taken for a ride by allies scrounging on it for their defence and by trade partners who got a free run. There is also a cultural divide in America in which Trump represents a conservative rebellion against elite 'wokeism'. Even his controversial stand on abortion made no difference, as 15 per cent fewer women voted for Harris than they had done for Biden in the 2020 election. The appeals Harris made that a "fascist" Trump would be a threat to democracy did not get much traction; voters were more concerned about their economic well-being, and most thought Trump a better bet than Harris. The election, as a prism, shows America to be a highly polarised society. Even more sharply conflicted than before.

The Trump campaign laid out clear intentions. He would start with massive deportations of illegal immigrants, go after the "enemies within" by weaponising the government, and, of course, raise tariffs sky-high. All in the name of Making America Great Again, although what he really has to do is Make America Affordable Again. How much of the rhetoric gets acted on remains to be seen, although he has fewer guardrails this time as he has both houses of Congress with him. Former Secretary of State Condoleezza Rice has put it well: "The new Four Horsemen of the Apocalypse—populism, nativism, isolationism and protectionism—tend to ride together, and they are challenging the political centre." This is what the Trump presidency portends.

America should worry, and so should the world. India included. With two wars bleeding the system and entities like BRICS sharpening a turn towards multipolarity, there was already talk of the old world order being reshaped. Trump's near-complete reversion to an insular focus on domestic affairs, presaging an American retreat from the world stage, will accelerate this. He also brings a disruptive veto to multilateral alliances, from NATO to climate change partnerships. On energy, he has the classic 20th-century fixation on fossil fuels, with the oily motto "Drill, baby, drill". But this may get modified with his strange bedfellow, the doyen of electric cars, Elon Musk. More urgently, his America First credo looms like a wrecking ball on world trade as it exists. He calls tariffs "the most beautiful word in the dictionary". From China far afield to the European Union to Mexico and Canada near 'Trumperica', everyone can expect much of that beauty. India had reached a record surplus of $35.3 billion out of a total just short of $120 billion in bilateral trade with the US in FY2024. For starters, we can brace for shocks on that $77.5 billion export figure. At the people level, tighter H1B visa rules may make the US less accessible for young Indians.

Group Editorial Director Raj Chengappa's cover story surveys how a Trump presidency can impact our entire strategic and geoeconomic landscape "with his 3-D policy: disrupt, disengage, deglobalise". India's careful geopolitical balance relies on a strategic partnership with the US, which has bipartisan support in America. So continuity won't be a bad objective for New Delhi. How can Trump 2.0 be worked to our advantage? Well, Prime Minister Narendra Modi sees him as a "friend", and rightly recalls the bonhomie of the 'Howdy Modi' and 'Namaste Trump' events. Trump's penchant for bilateral bonding, within transactional terms, also opens doors: the way to deal with him is to strike a deal with him. We will need smart and tough negotiators.

(Aroon Purie)